Jefferies

China (PRC) | Comm. Equipment

YOFC

Equity Research
July 22, 2026

China Supply Growth to Rapidly Eliminate Shortage; D/G to HOLD

YOFC has risen ~14x in the past 12 months due to AI-driven growth in demand for OF and optical modules. We estimate its OF ASP will rise 203% in 2026 to Rmb146/fkm, ~18% above the previous peak in 2018. Its preform+OF GM is forecast to rise to 86% in 2026 (48% in 2025). But we estimate global capacity will expand 69% by 2028 (100% in China), and more could come. Thus 2026 ASP would likely be the peak. Our SOTP valuation indicates limited upside. D/G to HOLD.

AI and military conflicts have boosted demand for OF. Optical fiber (OF) is a commodity. In 2025, China accounted for 56%/68% of global preform output/capacity. Global demand has taken off driven by 1) AI data center demand mainly in the US, and 2) use of drones in military conflicts in Ukraine and Iran (which could drop in 2027). In 2H25, the US AI supply chain faced a significant OF shortage as the western OF industry's capacity has been stagnant over the past 6 years, but the US was unwilling to buy from China. As demand continues to grow, we believe US players will have no choice but to start buying from China. YOFC is the largest OF maker globally with a 17% capacity share. Our industry checks indicate GOOG has qualified YOFC's OF, but the purchase from YOFC may not be direct.

ASP and GM to soar, but supply will increase significantly in 2027/8 esp in China. Datacom had been 10% of OF demand (80% telecom) until 2024. We est datacom will be 43% of demand in 2026 rising to 55% in 2027, implying 131%/65% YoY growth. Oversupply in China drove YOFC's OF ASP down to Rmb31/fkm in 2020. We est it gradually recovered to Rmb44 in 2025. Our industry checks suggest ASP has risen above Rmb100 in 2Q26, and some new DC-centric OF products (eg, G657A1/A2) could go above Rmb150/fkm even in LTAs. Since the unit cost of production has not changed materially, we est YOFC's GM on its preform+OF segment will rise from 48% in 2025 to 86% in 2026. Including low-margin cable products, YOFC's blended GM for its OF business is forecast to rise from 31% in 2025 to 53%. Given high operating leverage, we forecast a 10x YoY rise in EPS this year to Rmb11.44, implying 11x 2026E PE currently.

Significant industry capacity expansion would likely make 2026/27 profit the cyclical peak. Based on announced expansion plans and 12-18 months of buildout time, we estimate global capacity will increase 69% from now to 2028, with China's capacity doubling. YOFC is the only major player that has not discussed any expansion plan. Although we see it as a disciplined decision, YOFC could thus risk losing market share. Strong demand has also attracted M&A. LY iTech (002600 CH, HOLD) announced its acquisition of Futong, a financially distressed preform +OF maker. We est global capacity will cover 87%/85% of demand in 2027/28, indicating ASP could peak in 2026. Our new PT is based on an avg SOTP, with the OF business valued at the avg of 3.5x PB (2018 peak) and 14.1x 2027E PE (2sd above LT avg until mid-2025), and implies only 9% upside. D/G to HOLD.

FY (Dec)	2025A	2026E	2027E	2028E
Rev. (MM)	14,252.0	27,944.0	29,353.0	26,283.0
Gross Profit Margin (%)	30.7	52.6	54.2	50.5
Net Profit	814.0	8,702.0	9,052.0	6,948.0
Cons. EPS	1.14	7.46	10.75	13.36

RATING | TARGET | ESTIMATE CHANGE

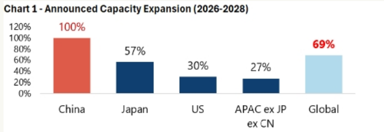
RATING	↓HOLD (BUY)
PRICE	HK$142.00^
PRICE TARGET | % TO PT	↑HK$153.74 (HK$10.73) | +8%
52W HIGH-LOW	HK$305.00 - HK$19.42
FLOAT (%) | ADV MM (USD)	47.8% | 554.12
MARKET CAP	HK$117.6B | $15.0B
TICKER	6869 HK

^Prior trading day's closing price unless otherwise noted.

FY (Dec)	CHANGE TO JEFe		JEF vs CONS	
	2026	2027	2026	2027
REV	+98%	NA	+12%	-7%
EPS	+838%	NA	+53%	+11%

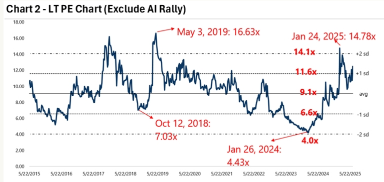
2026 (RMB)	Q1	Q2	Q3	Q4	FY
EPS	--	--	--	--	↑11.44
PREV					1.22

Chart 1 - Announced Capacity Expansion (2026-2028)



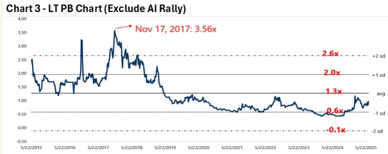
Source: Company data, Jefferies

Chart 2 - LT PE Chart (Exclude AI Rally)



Source: Factset, Jefferies

Chart 3 - LT PB Chart (Exclude AI Rally)



Source: Factset, Jefferies

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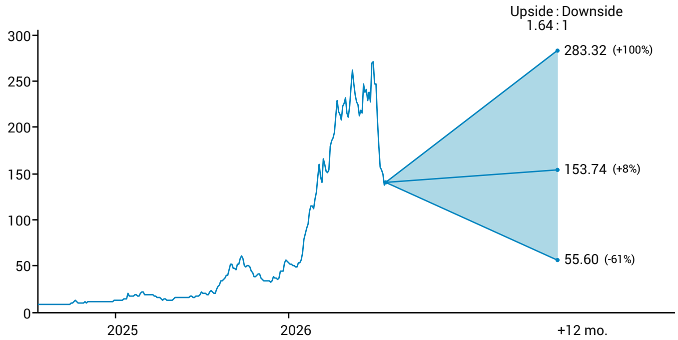
The Long View: YOFC

Investment Thesis

- China Telecom/China Unicom's provincial tenders are at ~Rmb80/fkm, reflecting their willingness to pay market prices. China Mobile's tender result should be out soon.
- China's 5G capex peaked in 2021, and the next telecom investment cycle remains distant. Future 6G deployment may leverage existing fiber networks, limiting incremental OF demand from telecom capex.
- AI demand is driving NT price hikes, but aggressive industry capacity expansion esp in China could cap upside and eventually pressure pricing beyond 2027-28.
- Management have done a good job of pursuing export sales and diversifying into optical modules and AOC. But its optical module business is an A-share listed company that investors could invest in separately.

Risk/Reward - 12 Month View



Base Case,
HK$153.74, +8%

- China has 4.2m 5G base stations by 2027.
- ASP of all OFC to grow by 90% in 2026, but fall after 2028 because the capacity expansion will eliminate the shortage.
- GM of preform+OF combined to rise from 47.5% in 2025 to 85.5% in 2027, then fall to 69.4% in 2030.
- Export sales would be >50% of total rev in 2026-2030.
- PT of HK$153.74 based on SOTP valuation, with TP of OF business based on the average of 14.1x 27E PE and 3.56x 28E PB, alongside HK$9.52 of EverProX, HK$3.17 of diversified biz. PT implies 11.2x/14.5x 2027E/28E P/E.

Upside Scenario,
HK$283.32, +100%

- We expect same 5G BTS & backbone transmission build.
- ASP of all OFC to grow by 94% in 2026, but fall after 2028 because the capacity expansion will eliminate the shortage.
- GM of preform+OF combined to rise from 47.5% in 2025 to 89.9% in 2027, then fall to 83.0% in 2030.
- PT of HK$283.32 based on SOTP valuation, with TP of OF business based on the average of 15.0x 27E PE and 5.00x 28E PB, alongside HK$19.02 of EverProX, HK$3.17 of diversified biz. PT implies 13.5x/16.0x 2027E/28E P/E.

Downside Scenario,
HK$55.6, -61%

- We expect same 5G BTS & backbone transmission build.
- ASP of all OFC to grow by 58% in 2026, but fall after 2027 because the capacity expansion will eliminate the shortage.
- GM of preform+OF combined to rise from 47.5% in 2025 to 77.9% in 2026, then fall to 54.2% in 2030.
- PT of HK$55.60 based on SOTP valuation, with TP of OF business based on the average of 14.1x 27E PE and 3.56x 28E PB, alongside HK$8.15 of EverProX, HK$3.17 of diversified biz. PT implies 10.3x 2027E P/E.

Sustainability Matters

Top Material Issues:

1) Address climate change, strengthen environmental compliance, and build a sustainable supply chain. 2) Drive innovation in next-generation optical communication technologies while maintaining product quality and data security.

Key ESG Targets:

1) Reduce GHG emissions intensity by 50% by 2028 (vs. 2021 baseline) and achieve carbon neutrality by 2055. 2) Maintain 100% compliance for wastewater, exhaust gas, and waste emissions, while improving energy efficiency and renewable energy usage. 3) Strengthen information security, business continuity, and global compliance management, while achieving 100% supplier CSR and integrity commitment coverage.

Key Questions for Mgmt:

1) What compliance system has YOFC built to meet regulatory requirements in overseas countries? 2) How is YOFC progressing toward its decarbonization targets? 3) What are YOFC's key R&D priorities under its AI-2030 strategy, and how will they support long-term growth and competitiveness?

Catalysts

Positive:

- Higher-than-expected growth in SiC, AOC, optical modules, submarine cable, and telecom engineering revenue.
- Announcement of domestic CSP OF tender with feasible price.
- Higher-than-expected growth in OF price.

Negative:

- More announcement of OF capacity expansion.
- Faster-than-expected capacity expansion.
- New telco tenders with lower-than-expected price.

Table 1 - Announced Capacity Expansion (2026-2028)

Players	Δ Capacity (ton)
China	**14,700**
Futong (M&A by Lingyi iTech)	500
ZTT	850
Fiberhome	1,200
Hengtong	1,500
ETERN	600
Tongding	1,250
Hangzhou Cable	1,200
Far East	1,800
Qinghai Zhongli	300
SDGI	300
Han's Laser*	2,000
Hoshine Silicon Industry*	3,200
Japan	**3,200**
Fujikura	1,300
Furukawa	1,900
US	**1,500**
Corning	1,500
Global Total	**19,400**

Source: Company data, Jefferies
*new entrants

Table 2 - YOFC's Valuation Table (@HKD 142.00)

Dec 31, Rmb m	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Revenue	12,197	14,252	27,944	29,353	26,283	22,904	20,429	19,780	19,248
YoY	-9%	17%	96%	5%	-10%	-13%	-11%	-3%	-3%
vs consensus			*12.0%*	*-7.0%*	*-31.3%*				
Adj. EBITDA	1,726	2,717	12,123	13,054	10,388	7,755	5,639	4,656	3,688
YoY	3%	57%	346%	8%	-20%	-25%	-27%	-17%	-21%
vs consensus			*41.7%*	*5.0%*	*-27.3%*				
Net profit (to parent)	676	814	8,702	9,052	6,948	4,710	2,912	2,150	1,408
YoY	-48%	20%	969%	4%	-23%	-32%	-38%	-26%	-35%
vs consensus			*41.2%*	*2.0%*	*-37.0%*				
EPS (Rmb)	0.89	1.07	11.44	11.90	9.14	6.19	3.83	2.83	1.85
YoY	-48%	20%	969%	4%	-23%	-32%	-38%	-26%	-35%
vs consensus			*53.4%*	*10.7%*	*-31.6%*				
EV/EBITDA x	60.4	38.4	8.6	8.0	10.0	13.4	18.5	22.4	28.3
PEx	137.1	114.6	10.7	10.3	13.4	19.8	32.0	43.4	66.2
Adjusted PEx	135.1	112.9	10.6	10.1	13.2	19.5	31.5	42.7	65.2
PBx	8.0	6.8	4.7	3.6	3.1	2.8	2.6	2.5	2.5
FCF yield to mkt cap	0.4%	2.1%	3.0%	9.1%	8.7%	6.3%	4.7%	3.2%	7.5%
Dividend yield	0.2%	0.2%	2.8%	2.9%	2.2%	1.5%	0.9%	0.7%	0.5%
EV/IC	5.5	5.5	4.4	4.2	4.3	4.4	4.6	4.8	7.4
ROAE	4.5%	4.9%	42.0%	33.8%	21.6%	13.0%	7.5%	5.3%	3.4%
ROIC	5.1%	6.9%	45.9%	43.2%	35.3%	26.6%	18.9%	15.7%	14.3%

Source: Company, Factset, Jefferies

Table 3 - YOFC SOTP Valuation

PB	
OF - total	
28E P/Bx	**3.56x**
OF BV (Rmb mn)	29,061
OF equity value	103,456
OF TP	**124.96**
PE	
OF - total	
27E P/Ex	**14.1x**
OF EPS	9.37
OF TP	132
OF TP	**132.13**
OF	
Average OF TP (Rmb)	**121.78**
EverproX (300548 CH)	
YOFC's stake in EverproX	19.03%
Holdco discount	19.03%
Equity value per share (Rmb)	**8.22**
Diversified biz	
Equity value per share (Rmb)	**2.74**
SOTP PT (Rmb)	**132.73**
SOTP PT (HKD)	**153.74**
Upside (downside)	**8.3%**

Source: Company, Jefferies

Table 4 - YOFC's Key Assumptions (1/2)

	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Income Statement Assumptions							
Capacity							
Preform (ton)	4,000	4,000	4,000	4,000	4,000	4,000	4,000
previous	*4,000*	*4,000*	*4,000*	*4,000*	*4,000*	*4,000*	*4,000*
Optical fibers (m fkm)	81	81	81	81	81	81	81
previous	*81*	*81*	*81*	*81*	*81*	*81*	*81*
Optical fiber cables (m fkm)	23	23	23	23	23	23	23
previous	*23*	*23*	*23*	*23*	*23*	*23*	*23*
Capacity utilization							
Optical fiber preforms	96%	99%	95%	95%	95%	95%	95%
previous	*95%*	*95%*	*95%*	*95%*	*95%*	*95%*	*95%*
Optical fibres	95%	95%	95%	95%	95%	95%	95%
previous	*95%*	*95%*	*95%*	*95%*	*95%*	*95%*	*95%*
Optical fibre cable	99%	99%	99%	99%	99%	99%	99%
previous	*99%*	*99%*	*99%*	*99%*	*99%*	*99%*	*99%*
Sales volume (m fkm)							
Optical fiber preforms	23.7	24.5	22.1	22.1	22.1	22.1	22.1
previous	*41.9*	*42.8*	*44.2*	*42.4*	*40.7*	*39.5*	*40.7*
Optical fibers - self made	70.0	72.0	72.0	72.0	72.0	72.0	72.0
previous	*39.0*	*40.0*	*40.0*	*43.0*	*46.0*	*48.0*	*46.0*
Optical fibers - resale	0.0	0.0	0.0	0.0	0.0	0.0	0.0
previous	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*
Optical fibers - total	70.0	72.0	72.0	72.0	72.0	72.0	72.0
previous	*39.0*	*40.0*	*40.0*	*43.0*	*46.0*	*48.0*	*46.0*
Optical fiber cable - self-made	22.8	22.8	22.8	22.8	22.8	22.8	22.8
previous	*22.8*	*22.8*	*22.8*	*22.8*	*22.8*	*22.8*	*22.8*
Optical fiber cable - resale	39.2	37.2	37.2	37.2	37.2	37.2	37.2
previous	*47.2*	*48.2*	*48.2*	*50.2*	*52.2*	*57.2*	*55.2*
Optical fiber cable - total	62.0	60.0	60.0	60.0	60.0	60.0	60.0
previous	*70.0*	*71.0*	*71.0*	*73.0*	*75.0*	*80.0*	*78.0*
Local ASP							
Optical fibre preforms (Rmb/fkm; 1ton = 30,000fkm)	89.3	91.5	77.6	65.3	52.7	51.5	51.5
previous	*42.0*	*43.3*	*44.7*	*46.7*	*48.9*	*50.2*	*49.6*
Optical fibres (Rmb/fkm)	104.9	107.4	91.2	76.7	61.9	60.5	60.5
previous	49.3	50.9	52.5	54.8	57.4	59.0	58.2
Optical fibre cable (Rmb/fkm)	128.7	131.4	109.0	88.3	71.7	70.0	70.0
previous	73.1	74.0	75.0	76.7	79.5	81.2	80.3
Export ASP							
Optical fibre preforms (Rmb/kg)	2,678.0	2,743.6	2,329.4	1,958.0	1,580.0	1,544.7	1,544.7
previous	1,260.3	1,299.0	1,340.5	1,399.9	1,466.3	1,507.1	1,486.9
Optical fibres (Rmb/fkm)	160.0	150.0	120.0	95.0	75.0	65.0	55.0
previous	40.0	41.0	41.0	41.0	43.0	45.0	47.0
Optical fibre cable (Rmb/fkm)	135.4	142.1	116.0	95.0	80.0	80.0	80.0
previous	73.0	74.0	75.0	77.0	80.0	82.0	81.0

Source: Company, Jefferies

Table 5 - YOFC's Key Assumptions (2/2)

	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Cost of sales per unit							
Optial fiber preform (Rmb/fkm)	15.7	15.7	16.9	17.5	17.9	17.9	17.9
previous	17.6	17.5	17.5	17.4	17.4	17.4	17.4
OF - self made (Rmb/fkm)	21.2	21.2	22.4	23.0	23.4	23.4	23.4
previous	23.1	23.0	22.9	22.9	22.9	22.9	22.9
OFC - self made (Rmb/fkm)	50.5	50.5	50.5	50.5	50.5	50.5	50.5
previous	36.0	36.0	36.0	36.0	36.0	36.0	36.0
Gross margin							
Optical fiber preforms	82.4%	82.8%	78.2%	73.1%	66.0%	65.2%	65.2%
previous	58.1%	59.5%	60.9%	62.7%	64.4%	65.4%	64.9%
Optical fibers - self made	85.5%	86.0%	82.4%	76.9%	70.1%	64.6%	56.4%
previous	49.0%	50.7%	51.8%	53.7%	56.1%	57.7%	57.7%
Optical fibers - resale	12.7%	12.7%	12.7%	12.7%	12.7%	12.7%	12.7%
previous	12.7%	12.7%	12.7%	12.7%	12.7%	12.7%	12.7%
Optical fiber - total	85.5%	86.0%	82.4%	76.9%	70.1%	64.6%	56.4%
previous	49.0%	50.7%	51.8%	53.7%	56.1%	57.7%	57.7%
Optical Fiber cable - self-made	60.8%	61.6%	53.7%	42.9%	29.6%	27.9%	27.9%
previous	50.7%	51.3%	52.0%	53.1%	54.7%	55.7%	55.2%
Optical fiber cable - resale	6.0%	6.0%	6.0%	5.0%	5.0%	5.0%	5.0%
previous	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Optical fibre cable - total	26.1%	27.1%	24.1%	19.4%	14.3%	13.7%	13.7%
previous	19.9%	19.9%	20.1%	20.0%	20.1%	19.4%	19.7%
Total	52.6%	54.2%	50.5%	46.0%	41.1%	38.4%	35.5%
previous	25.7%	26.3%	27.0%	27.7%	28.4%	28.4%	28.2%
Payout ratio %	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%
previous	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%
Effective tax rate	15.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%
previous	4.0%	4.5%	5.0%	5.0%	5.0%	5.0%	5.0%
Capex forecasts (Rmb m)							
Preform capacity expansion	0	0	0	0	0	0	0
previous	0	0	0	0	0	0	0
OF capacity expansion	200	200	0	0	0	0	0
previous	200	200	0	0	0	0	0
Maintenance/upgrade	400	400	400	400	400	400	400
previous	400	400	400	400	400	400	400
Total	1,600	1,600	1,500	1,400	1,200	900	900
previous	1,100	800	600	600	600	600	600
Capex cost for capacity expansion							
Preform per 500 tons (Rmb m)	680	680	680	680	680	680	680
previous	680	680	680	680	680	680	680
OF per 10m fkm (Rmb m)	200	200	200	200	200	200	200
previous	200	200	200	200	200	200	200

Source: Company, Jefferies

Table 6 - YOFC's Income Statement

Rmb m	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Revenue from principal activities	11,917	13,987	27,679	29,087	26,018	22,638	20,163	19,514	18,983
Optical fibre preforms	1,246	1,456	2,114	2,237	1,717	1,443	1,164	1,138	1,138
Optical fibres	1,642	1,759	10,207	10,928	9,158	7,170	5,636	4,761	3,861
Optical fibre cable	4,504	4,198	7,979	7,885	6,540	5,300	4,300	4,200	4,200
Non-OF revenue	4,524	6,573	7,379	8,037	8,603	8,725	9,062	9,415	9,783
New Segment since 2024									
Revenue from principal activities	11,917	13,987	27,679	29,087	26,018	22,638	20,163	19,514	18,983
Optical communication products	7,867	8,346	21,232	21,983	18,348	14,846	12,033	11,032	10,132
Optical Transmission Components	2,116	3,144	3,901	4,504	5,059	5,312	5,578	5,857	6,150
Others	1,934	2,496	2,546	2,601	2,611	2,480	2,552	2,625	2,701
Revenue from other operating activities	281	265	265	265	265	265	265	265	265
Revenue	12,197	14,252	27,944	29,353	26,283	22,904	20,429	19,780	19,248
Cost of sales	(8,867)	(9,872)	(13,232)	(13,458)	(13,007)	(12,376)	(12,029)	(12,183)	(12,406)
Gross profit	3,330	4,380	14,712	15,895	13,277	10,527	8,400	7,597	6,843
GM	**27.3%**	**30.7%**	**52.6%**	**54.2%**	**50.5%**	**46.0%**	**41.1%**	**38.4%**	**35.5%**
Operating costs									
Taxes and surcharges	(83)	(115)	(225)	(237)	(212)	(185)	(165)	(159)	(155)
Selling expenses	(489)	(586)	(748)	(799)	(814)	(849)	(898)	(969)	(1,048)
Administrative expenses (ex. R&D)	(1,042)	(1,164)	(1,651)	(1,814)	(1,930)	(2,072)	(2,206)	(2,339)	(2,481)
Research & development expenses	(787)	(894)	(905)	(951)	(951)	(951)	(951)	(951)	(951)
Financial expenses	(191)	(264)	(221)	(197)	(130)	(70)	(29)	2	31
Impairment losses	(145)	(147)	(130)	(141)	(139)	(137)	(139)	(138)	(138)
Credit losses	(142)	(179)	(154)	(158)	(164)	(159)	(160)	(161)	(160)
Opex of non-OF business	(716)	(1,290)	(1,484)	(1,641)	(1,779)	(1,823)	(1,897)	(1,975)	(2,057)
Total opex	(2,880)	(3,349)	(4,034)	(4,296)	(4,340)	(4,421)	(4,548)	(4,715)	(4,902)
Operating Profit	450	1,031	10,678	11,599	8,937	6,106	3,852	2,882	1,941
OPM (ex non-cash losses and fin exp)	7.6%	11.4%	40.0%	41.2%	35.7%	28.3%	20.5%	16.1%	11.5%
Gains (losses) from changes in fair value	-138	37	10	10	10	10	10	10	10
Investment income	-172	(219)	(304)	(260)	(223)	(191)	(164)	(140)	(120)
including from JVs and associates	-303	(208)	*(456)*	*(443)*	*(335)*	*(182)*	*(156)*	*(133)*	*(114)*
Gains/Losses from asset disposals	-8	7	9	9	10	11	12	12	13
Other income	261	229	-	-	-	-	-	-	-
Non-operating income	227	95	33	33	33	33	33	33	33
Non-operating expenses	(27)	(36)	(27)	(27)	(27)	(27)	(27)	(27)	(27)
Profit before taxation	593	1,145	10,398	11,363	8,740	5,941	3,716	2,770	1,849
Income tax	(12)	(263)	(1,628)	(2,243)	(1,724)	(1,163)	(736)	(552)	(373)
Profit for the year	581	882	8,770	9,120	7,016	4,778	2,980	2,218	1,476
Profit for the year attributable to:									
Equity shareholders of the Company	676	814	8,702	9,052	6,948	4,710	2,912	2,150	1,408
Non-controlling interests	(95)	68	68	68	68	68	68	68	68

Source: Company, Jefferies

Table 7 - YOFC's Balance Sheet Statement

Condensed Balance Sheet (Rmb m)	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Current assets									
Cash and cash equivalents (excl. restricted deposits)	3,293	5,764	7,296	13,965	20,565	25,461	29,374	32,166	39,656
Bills receivable & Receivables under financing	835	744	1,257	1,174	1,051	916	817	791	674
Trade receivables	5,262	5,950	10,898	10,861	9,199	8,016	7,150	6,923	3,850
Other receivables	117	134	134	134	134	134	134	134	134
Inventories	3,176	3,153	4,446	4,481	4,323	4,110	3,998	4,056	4,131
Others	1,935	2,451	2,461	2,471	2,481	2,491	2,501	2,511	2,521
Total current assets	14,617	18,197	26,493	33,086	37,753	41,129	43,974	46,582	50,966
Non-current assets									
Long-term receivables	2	1	2	3	2	2	2	2	2
Long-term equity investments	2,794	2,256	1,952	1,692	1,469	1,278	1,114	974	853
Fixed assets	8,458	9,801	10,481	11,140	11,640	11,775	11,533	10,974	10,413
Construction in progress	2,083	1,557	1,557	1,557	1,557	1,557	1,557	1,557	1,557
Intangible assets	1,707	1,767	1,829	1,877	1,897	1,889	1,841	1,739	1,630
Rights-of-use assets	78	191	191	191	191	191	191	191	191
Deferred tax assets	528	620	620	620	620	620	620	620	620
Others	1,460	1,972	1,972	1,972	1,972	1,972	1,972	1,972	1,972
Total non-current assets	17,110	18,166	18,604	19,052	19,349	19,284	18,830	18,029	17,238
Current liabilities									
Current bank loans	2,000	2,282	2,282	2,282	2,282	2,282	2,282	2,282	2,282
Bills payable	1,173	1,468	1,918	2,194	2,402	2,564	3,008	3,143	4,280
Trade payables	1,961	2,301	3,349	3,675	3,812	3,875	3,849	3,899	5,210
Employee benefits payable	360	390	495	528	547	570	597	632	669
Taxes payable	277	393	393	393	393	393	393	393	393
Others	4,574	3,794	3,794	3,794	3,794	3,794	3,794	3,794	3,794
Total current liabilities	10,345	10,629	12,231	12,866	13,230	13,478	13,923	14,144	16,629
Non-current liabilities									
Non-current bank loans	4,791	4,219	4,219	4,219	4,219	4,219	4,219	4,219	4,219
Deferred income	432	763	1,497	1,572	1,408	1,227	1,094	1,059	1,031
Other non-current liabilities	196	1,963	2,434	2,599	2,617	2,622	2,671	2,776	2,896
Others	382	1,016	1,016	1,016	1,016	1,016	1,016	1,016	1,016
Total non-current liabilities	5,800	7,961	9,165	9,406	9,260	9,083	9,000	9,070	9,162
Shareholders' Equity									
Share capital	758	828	828	828	828	828	828	828	828
Capital reserve	3,147	4,890	4,890	4,890	4,890	4,890	4,890	4,890	4,890
Other comprehensive income	26	(25)	(25)	(25)	(25)	(25)	(25)	(25)	(25)
Surplus reserve	733	768	768	768	768	768	768	768	768
Retained earnings	6,964	7,540	13,399	19,495	24,174	27,345	29,306	30,754	31,702
Total shareholders' equity	11,629	13,806	19,665	25,761	30,440	33,611	35,572	37,020	37,968
Non-controlling interest	3,952	3,967	4,036	4,104	4,172	4,240	4,308	4,377	4,445
Total equity	15,581	17,773	23,701	29,865	34,612	37,852	39,881	41,397	42,413

Source: Company, Jefferies

Table 8 - YOFC's Cash Flow Statement

IFRS Condensed Cash Flow Statements (Rmb m)	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Cash flow from operations									
EBITDA	1,726	2,717	12,123	13,054	10,388	7,755	5,639	4,656	3,688
Change in working capital	107	(1,223)	(5,434)	422	2,004	1,484	1,223	117	5,303
Finance cost, net	(191)	(275)	(221)	(197)	(130)	(70)	(29)	2	31
Income tax paid	(12)	(263)	(1,628)	(2,243)	(1,724)	(1,163)	(736)	(552)	(373)
Others	461	289	5	5	5	5	5	5	5
Net cash flow from operations	1,783	3,653	4,845	11,041	10,543	8,011	6,104	4,229	8,655
Cash flow from investing									
Capex (on PPE, Intangible Assets)	(1,350)	(1,544)	(1,830)	(1,830)	(1,716)	(1,601)	(1,373)	(1,030)	(1,030)
Disposal of PPE & other assets	141	134	157	173	188	202	215	226	233
Changes in other non-current assets	(1,318)	433	(1)	(0)	0	0	0	0	0
Change in other non-current liabiities	154	2,119	1,204	241	(147)	(177)	(83)	70	92
Net cash flow from investing	(2,299)	(2,705)	(470)	(1,417)	(1,674)	(1,576)	(1,241)	(734)	(705)
Cash flow from financing									
Financing activities	186	(290)	-	-	-	-	-	-	-
Dividends paid	(203)	(244)	(2,842)	(2,956)	(2,269)	(1,538)	(951)	(702)	(460)
Net cash flow from financing	(25)	1,462	(2,842)	(2,956)	(2,269)	(1,538)	(951)	(702)	(460)
Net (decrease)/increase in cash and cash equivalents	(541)	2,410	1,533	6,668	6,600	4,897	3,912	2,793	7,490
Cash and cash equivalents at 1 January	3,775	3,230	5,631	7,163	13,832	20,432	25,329	29,241	32,033
Effect of foreign exchange rate changes	(4)	(8)	-	-	-	-	-	-	-
Cash and cash equivalents at 31 December	3,230	5,631	7,163	13,832	20,432	25,329	29,241	32,033	39,524

Source: Company, Jefferies

Company Description

YOFC

Based in Wuhan, YOFC is the world's largest optical fiber manufacturer by volume and has the largest market share in China. The company was started 30 years ago as a joint venture between China's Ministry of Post and Telecom and Philips N.V. Later Philips spun off the cable division, which has become Draka. Draka has never sold down its stake in YOFC and has been actively involved in the management. A few years ago Draka merged with Prysmian (an Italian company), and Prysmian has become the foreign shareholder of YOFC.

Company Valuation/Risks

YOFC

Valuation is based on SOTP, with TP of OF business based on the average of 14.1x 27E PE and 3.56x 28E PB, alongside HK$9.52 of EverProX, HK$3.17 of diversified biz. PT implies 11.2x/14.5x 2027E/28E P/E. Key risks are: 1) further large increases / decreases in material costs due to higher/lower oil price and rising/falling inflationary pressures, 2) weakening/strengthening demand as 5G buildout in China could have peaked out, and 3) ASP declines as industry-wide capacity expansion during 2026-2028.

Lingyi iTech (Guangdong) Co.

Our price target of Rmb16.00 is based on end-2026E DCF, with a WACC of 9.3% and 7.0% terminal growth (2030E). Key risks include: 1) Faster/slower-than-expected proliferation of Apple XR products; 2) Market share gain from/loss to peers; 3) ASP/GM hike/deterioration due to stronger/weaker demand; and 4) Faster/slower-than-expected growth in AIDC/humanoid/automotive/solar businesses.

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(Article 3(1)e and Article 7 of MAR)

Recommendation Published	July 21, 2026 19:30 P.M.
Recommendation Distributed	July 21, 2026 19:30 P.M.

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The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below $10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently below $10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below $10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.
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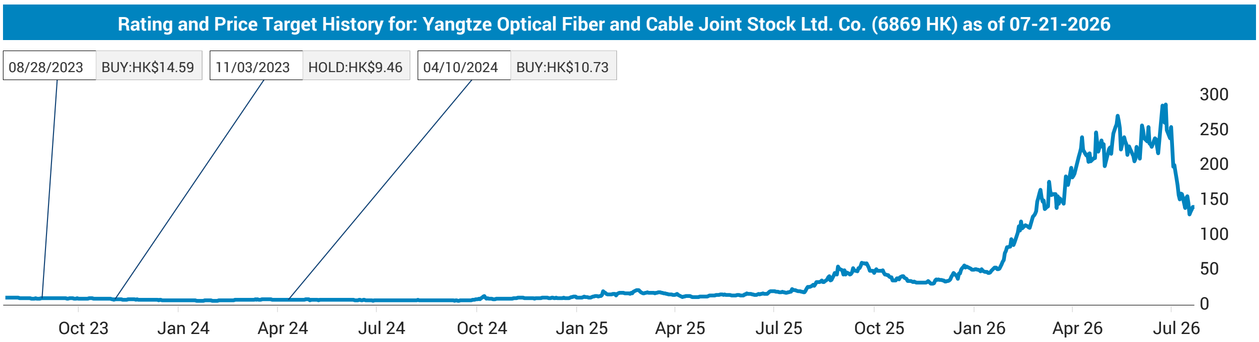
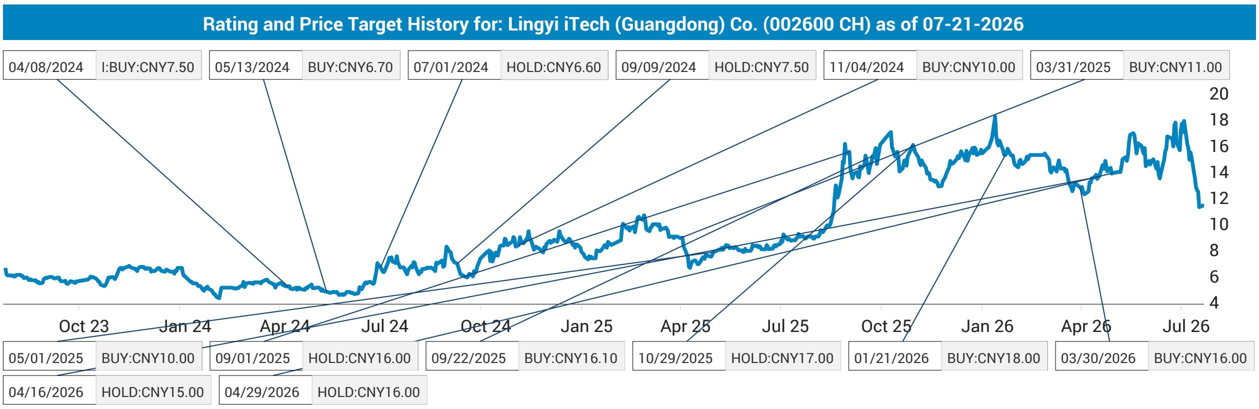
Other Companies Mentioned in This Report

- Lingyi iTech (Guangdong) Co. (002600 CH: CNY12.35, HOLD)
- Yangtze Optical Fiber and Cable Joint Stock Ltd. Co. (6869 HK: HK$142.00, HOLD)





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Legend:

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D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

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			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
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